



Advanced Financial Management (AFM) March/June 2023 Examiner's report

The examining team share their observations from the marking process to highlight strengths and weaknesses in candidates' performance, and to offer constructive advice for those sitting the exam in the future.

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General comments

This examiner's report should be used in conjunction with the published March/June 2023 sample exam which can be found on the [ACCA Practice Platform](#).

In this report, the examining team provide constructive guidance on how to answer these questions whilst sharing their observations from the marking process, highlighting the strengths and weaknesses of candidates who attempted them. Future candidates can use this examiner's report as part of their exam preparation, attempting question practice on the ACCA Practice Platform and reviewing the published answers alongside this report.

Format of exam

The examination comprised two sections, A and B. Section A consisted of one compulsory question for 50 marks in total. Section B consisted of two compulsory questions for 25 marks each. Out of this total of 100 marks across sections A and B, 20 marks were available for professional skills related to communication, commercial acumen, analysis and evaluation. 80 technical marks were available for applying appropriate technical knowledge in response to the requirements.

Section A

Question 1 – Joshua Co

Exam technique and time management

Joshua Co is a 50-mark question which translates into 90 minutes to spend on this question. It is very important candidates thoroughly read the question to become familiar with the scenario as important facts and figures can easily be missed. You must then plan your answer to enable you to have the opportunity to gain the maximum marks for each section. These steps must be built into your time management for each requirement of the question. Identify the areas where you feel you can gain marks the most easily and ensure you have the time to complete each requirement. Candidates should ensure they answer the requirement in the time allotted and avoid unnecessary detail such as repeating the facts from the scenario rather than spending their time making sure they address the requirement.

Question scenario

Joshua Co primarily relates to Section C of the syllabus: acquisitions and mergers. This question is broadly similar in complexity to previous questions that have been examined on the same syllabus area. The requirements test the ability of candidates to undertake a number of detailed calculations relating to an acquisition valuation and to discuss associated issues relevant to those calculations.

The scenario for this question is a proposed acquisition of another company put forward as a defence against a takeover. Joshua Co has been struggling in its market and the directors believe that it could soon be the target of a takeover bid. As a result, they discuss the benefits of becoming a bigger company as a defence strategy

claiming it would be more difficult to take over a larger company. In addition, they highlight any diversification benefits for their operations that a takeover would bring. Joshua Co put forward a proposal to take over Fraser Co even though they had put in a cash bid for Fraser Co last year that was turned down by Fraser Co's shareholders.

A key requirement of last year's bid was a 35% share premium that was required by Fraser Co's shareholders. Financial details are given for Joshua Co and Fraser Co in addition to other information about the proposed offer including cash flow projections and dividend information.

Additional information is also given about using a share buyback as an alternative defence strategy.

There are several requirements relating to this scenario focusing on the additional value the acquisition could bring, its' effect on shareholder value and dividends, and the concerns shareholders may have. Candidates are also asked to discuss agency issues relating to the proposed acquisition and the credibility of a share buyback as an alternative takeover defence tactic.

General comments

Candidates sometimes tend to struggle with questions relating to mergers and acquisitions.

A question of this type requires a logical step by step approach to the calculations particularly in terms of the additional value created. It is difficult to adopt the same approach for all questions and it is therefore essential that question practice is part of a candidate's preparation. The value created for each company's shareholders is required as a % in b(iii). This calculation is not too complicated and yet this part of the question was not answered at all well. However as discussed below the first two calculations were answered very well.

The detailed review below focuses on each of the requirements, highlights the approach taken by candidates and any issues that need to be addressed when using this question as a study aid.

Requirement (a) – 5 marks

(a) Discuss the agency problems created by Joshua Co's proposed takeover of Fraser Co as a defence and risk diversification strategy and explain how these could be mitigated.
(5 marks)

Part (a) requires candidates to discuss the agency problems created by Joshua Co's proposed takeover of Fraser Co and how these could be mitigated specifically in the context of a defence and risk diversification strategy.

There were a few good answers to this requirement but on the whole candidates generally struggled to answer this part well. A significant number of candidates discussed diversification as a takeover strategy and failed to focus their answers on agency issues. It was not clear whether they had misread the requirement or that they were unprepared to discuss agency issues. Those candidates that were able to give

a brief general explanation of the meaning of agency were rewarded but the main focus of the response should be the agency issues between shareholders and managers in the light of the managers' rationale for the takeover. Candidates who did not focus on agency were rewarded for discussing diversification as a strategy relating it to institutional shareholders already being diversified. The mitigation suggestion mainly relates to communication with shareholders about the rationale for the takeover but if a candidate's focus was not on the shareholders in the first part the marks available for the mitigation were rarely awarded.

It was disappointing to see that quite a few candidates made no attempt at this part emphasising the need for thorough preparation.

Requirement (bi) – 5 marks

(b) Prepare a report for the board of directors of Joshua Co that:	
(i) Calculates the post-acquisition weighted average cost of capital;	(5 marks)
(ii) Estimates the additional value to shareholders from Joshua Co's proposed acquisition of Fraser Co;	(11 marks)
(iii) Compares shareholder wealth before and after the acquisition by calculating the percentage change in equity value and next year's dividend income for both companies' shareholders;	(6 marks)
(iv) Advises the board of any concerns either company's shareholders may have with the acquisition and discusses the validity of the assumptions made in evaluating the proposal in (b)(i), (ii) and (iii) above;	(8 marks)
(v) Discusses the credibility of the CEO's alternative suggestion to use a share buyback as a takeover defence and advises whether or not this is a feasible strategy for Joshua Co.	(5 marks)
Professional marks will be awarded for the demonstration of skill in communication, analysis and evaluation, scepticism and commercial acumen in your answer.	
(10 marks)	

This part of the question requires candidates to undertake a WACC calculation to be used as the discount rate in the valuation in part b(ii). The calculations were mainly well done. The calculations required an equity beta to be calculated from an asset beta and those candidates that were not awarded the full marks tended to make an error in this calculation. In addition there were a number of candidates who did not adjust the cost of debt for tax in the WACC calculation.

Requirement (bii) – 11 marks

This requirement requires candidates to estimate the additional value created from Joshua Co's acquisition proposal. Exhibit 2 provides a range of financial information relating to both companies and from this, candidates are required to identify the relevant information and undertake the calculation based on a PV approach. Well prepared candidates were able to score extremely well on this requirement of the question and it was not unusual to see very good marks.

Many candidates correctly calculated the projected total corporate value using a PV approach with a perpetuity terminal value. Common errors included calculating the starting PBIT for year 1 incorrectly, calculating the incremental asset investment incorrectly and/or including it before tax, and incorrectly calculating the perpetuity. Candidates need to read the question carefully as in this scenario the asset investment was clearly stated to be after tax and the starting point of the PBIT was also clearly stated.

The scenario explains that synergies only exist for four years and it was the intention that these were treated separately. It became apparent that another interpretation was possible since many candidates included synergies in their free cash flow calculation and hence their terminal value calculation. Although such an interpretation was not intended, it was felt that candidates should not be penalised for such an approach. Candidates following this alternative treatment therefore received full credit.

Having calculated the overall expected corporate value candidates were then required to calculate the expected equity value by adjusting this figure by the value of debt (given in the question as 30%). The expected additional value of the proposal can then be calculated by deducting the initial market value of the shares of Joshua Co and Fraser Co from the expected equity value. Many candidates failed to adjust the total corporate value for the value of debt but then went on to calculate a figure for the expected additional value and were rewarded for this calculation.

Requirement (biii) – 6 marks

This requirement asks candidates to compare shareholder wealth of both companies in terms of the % change in expected equity value and the expected % change in next year's dividend income. This required candidates to split the expected additional value between Joshua Co and Fraser Co based on the proportion of shares held and compare it to the initial market value of the two companies that was given in the scenario information.

A similar calculation is also required to calculate the increase in dividend % but candidates needed to take account of a covenant limiting the amount available for this.

Up to this point many candidates had done very well with the calculations. However, this requirement was not well answered. Most candidates did calculate some absolute figures for the change in value rather than %'s which did earn them some marks. A common mistake amongst candidates who attempted a % change was to calculate it on a single share basis. This does not work in this situation as the expected share price is much lower than Fraser Co's original share price but shareholders would now hold 3 shares in the company compared to the one they previously held (meaning a sizeable increase in value). The share for share effect was seldom picked up by candidates leading to very different conclusions.

There were some marks available for discussion and these were awarded based on OFR but few candidates offered any comparison or comments at all.

It was disappointing to see that there were quite a few candidates who didn't answer this part at all.

Requirement (biv) – 8 marks

This requirement focusses on two areas that require discussion - the assumptions relating to the valuation and shareholder concerns about the proposal. Assumptions were on the whole discussed well but some candidates just listed them without any discussion, limiting the marks awarded to them. Candidates need to be aware that cutting and pasting information directly from the scenario and including it as an answer or part of an answer without adding any discussion will not be rewarded.

Shareholder concerns were addressed quite well but there was information in the case that should have been used to contribute to a candidate's discussion. For example, how would shareholders react to a new bid when one failed last year or questioning the terms of the offer and the 35% premium.

However this requirement was answered very well on the whole.

Requirement (bv) – 5 marks

Requirement b(v) expects candidates to discuss the suggestion of a share buyback as a defence tactic.

Generally candidates were clear that Joshua had no cash to finance the buyback and commented on the issue of the covenant if extra debt was taken on to finance it. There were however a significant number of candidates who seemed unsure about the impact of a buyback and why it would be useful. There was a lot of misunderstanding demonstrated by candidates with quite a few believing it would increase the issued share capital and lead to dilution of EPS. Quite a wide range of marks were awarded but it was disappointing to see so many responses which appeared to indicate a lack of preparation and revision on this area.

Professional skills – 10 marks

Candidates were generally good at demonstrating skills in communication and analysis and evaluation but not so good at demonstrating scepticism and commercial acumen.

Communication

The communication skills mark relates to part (b) and requires a report format with appropriate structure. Candidates that did not achieve full marks were either not following the report structure or not awarded the full marks for the style, language and clarity of their response. There are still a surprising number of candidates who forget a conclusion or who do not present their answer in any form of a report meaning they lose valuable marks that are relatively easy to achieve.

Analysis and Evaluation

The majority of candidates were able to appropriately use the data to determine suitable calculations. On the whole, marks for this skill were good. Candidates that achieved fewer marks for this skill often failed to base their discussions on previous

analysis and/or did not submit a balanced appraisal to support their recommendations or decisions.

Scepticism

The scepticism marks in this question are awarded for effective challenge of information, such as for b(iv) where there is the opportunity to question the rationale for the acquisition and the board's motivation for the offer. In addition marks could be gained for demonstrating the ability to probe into the reasons for issues, such as questioning the impact of the variables in the calculation of the additional value.

Commercial Acumen

Few candidates were able to demonstrate commercial acumen skills by relating their discussion and information in the scenario to the real world. In this scenario candidates could have enhanced their discussion of risk diversification by relating it to institutional shareholders like pension funds who diversify across a wide range of markets

Summary

Overall, this is a good mergers and acquisitions question. Well prepared candidates were able to do very well. Thorough reading of the scenario, planning and a structured approach benefitted many candidates and ensured time was not wasted on needless calculations and discussion, but directed at the key areas. The ability to apply knowledge to a given scenario is a skill required throughout this stage of the qualification and reinforces the need to practice past questions under exam conditions

Section B

Question 2 – Oxwick Co

Format of the Question

Oxwick Co is a 25 mark section B question which relates primarily to section C of the syllabus focusing on shareholder value through acquisitions. The requirements are similar to requirements that have previously been examined in this syllabus area. Candidates were tested on their ability to undertake a calculation relating to a valuation of a possible takeover target and to discuss related issues.

Exam technique and time management

Oxwick Co is worth 25 marks which translates into 45 minutes for candidates to spend on this question. Candidates should read the question thoroughly to become familiar with the scenario and then plan their time carefully in order to address the specific issues in the question and gain maximum marks for each requirement. Candidates must then plan their answer to have the opportunity to gain the maximum marks for each section. Candidates should ensure they answer the requirement in the time allotted and avoid unnecessary detail such as repeating the facts from the scenario rather than spending their time making sure they address the requirement. Marks are not allocated for information which is repeated from the scenario without any analysis or evaluation.

Question scenario

Exhibit one presented information about Oxwick Co, a soft drinks manufacturer looking to expand. Ludham Co is an unlisted company producing a premium brand of soft drinks. This exhibit introduces the views of a non-executive director who believes shareholders only want acquisitions which reduce risk and therefore increase company value and that acquiring Ludham Co would not reduce risk.

Exhibit 2 provides financial information relating to both Oxwick Co and Ludham Co that will enable a financial evaluation to be carried out.

The initial requirement asked candidates to discuss the non-executive's views in relation to Oxwick Co's acquisition strategy and to the acquisition of Ludham Co specifically.

Candidates were then required to estimate the equity value of the combined company and the percentage gain that would accrue to Oxwick Co's shareholders. The final requirement was a discussion on the assumptions made in the calculations of the values in part (b)

General comments

This question was, generally, answered quite well. In the valuation calculation many candidates were able to produce a well-structured answer demonstrating their ability to apply valuations using the price earnings method and the discounted cash flow method.

The discussion requirements were answered less well. Many candidates did not challenge the non-executive's view but were more confident in discussing the advantages of a related acquisition. When discussing assumptions used in the calculations there are still too many candidates simply stating the assumptions as they are given in the scenario or providing a short list. Candidates that really understand the scenario and are able to relate to relevant issues will always be rewarded and are more likely to earn the professional skills marks.

Time pressure did not seem to be an issue and those responses that were short or incomplete were more likely to have been caused by lack of preparation.

The detailed review below focuses on each of the requirements, highlights the approach taken by candidates and any issues which need to be addressed when using this question as a study aid.

Requirement (a) – 5 marks

(a) Discuss the non-executive director's views in relation to Oxwick Co's acquisition strategy and the acquisition of Ludham Co.

There were some good answers to this requirement where candidates addressed both of the areas very well. However, candidates on the whole do need to be more confident in challenging statements given in the question rather than assuming the non-executive director's views are correct. Many candidates did recognise that shareholders could diversify their own portfolios but often did not relate this fact to the non-executive's views as to whether Oxwick Co should diversify into new areas to reduce risk. The non-executive also suggested that Oxwick Co should look to acquire one or more of its suppliers to reduce risk. This point was only discussed by better candidates and demonstrates the need to read the question thoroughly and discuss all the information given in the scenario. A few candidates did just state the non-executive's view as given in the question with no discussion as to whether it is a feasible strategy for Oxwick Co and therefore earned no marks for doing this.

The majority of candidates did discuss the acquisition of Ludham Co and were able to give good reasons why the acquisition could create value citing synergy benefits, economies of scale, competitive position or better distribution channels.

Requirement (b) – 10 marks

Estimate, using the data available:

- **the equity value of the combination of Oxwick Co and Ludham Co; and**
- **the % gain in value which would be gained by Oxwick Co's shareholders from the acquisition, concluding whether it will fulfil the expected shareholder requirement of a 15% gain in value.**

This part of the question was generally well done. The majority of the candidates were able to calculate the discounted cash flow of the combined company correctly. The initial value of both companies also needed to be calculated and on the whole this was also done correctly. However, there were a number of common errors made by some candidates as detailed below:

- The discounted cash flow required additional investment to be calculated for the first 4 years. This was given as \$0.80 for every \$1 increase in post-tax cash flows. A few candidates calculated this incorrectly by not considering that it should be based on the increase in post-tax cash flows rather than the absolute value.
- The valuation required a perpetuity calculation from year 4 onwards. Many candidates did this correctly, but some candidates forgot to discount the perpetuity by the year 4 discount factor to bring it back to present value.
- The resulting value from the discounted cash flow calculation was the combined company total value and this needed adjusting by the capital structure ratio given in the question to calculate the combined equity value. A number of candidates forgot to reduce the total value by the debt proportion.
- The value of Ludham Co required candidates to calculate Oxwick Co's price earnings ratio, adjust this for Ludham Co's unlisted status and then apply it to its' post tax earnings. Many candidates did this correctly, but a few candidates incorrectly used Ludham Co's number of shares instead of the post-tax earnings to calculate its' initial value.

This next part of the question did cause a few problems for some candidates and there were quite a number who did not progress beyond the values above.

Having calculated the equity value of the combined company and the two individual values the next step was to calculate the overall gain in value and apportion it between the two companies. Ludham Co required a 15% premium on their current value and this amount should be calculated based on the price earnings valuation noted above. The value of the acquisition to Oxwick Co's shareholders is the difference between the combined company equity value and the initial value of the two companies plus the 15% premium calculated for Ludham Co. Following on from this the requirement with respect to the percentage gain to Oxwick Co's shareholders and whether it achieves the 15% required return can be addressed by expressing the value of the acquisition to Oxwick Co as a percentage of Oxwick Co's initial value.

The most common errors were to ignore the gain required by Ludham Co's shareholders of 15% and apportion all the gain to Oxwick Co and to calculate the proportion of the overall gain that would go to Oxwick Co rather than the gain on the initial value. However a good proportion of candidates were able to work through all the calculations correctly and it is worth reminding candidates that a mistake only gets penalised once so an incorrect valuation at the start can still result in a good answer being well rewarded.

Requirement (c) – 5 marks

Discuss the assumptions made in the calculations in part (b).

A good number of candidates discussed the assumptions and highlighted their importance. However there are still a fair proportion of candidates who are producing short lists of assumptions making comments such as “it is assumed the cost of capital is calculated correctly”. The requirement clearly asks for discussion and a list where statements are made as in the example will not be rewarded.

Instead of saying an assumption is unrealistic, for maximum credit, candidates need to develop this point by saying why it is unrealistic and giving examples of variables that can make it change such as an economic recession impacting the market for soft drinks. Very few candidates question the realism of the assumptions and the impact that this could have on the overall valuation which can then affect the acquisition decision.

There will be some assumptions not stated in the scenario such as how the cost of capital is calculated. This can be discussed further as there is an implicit assumption within the cost of capital calculation that the ratio of debt and equity will not change. Funding in an acquisition decision could change the capital structure so candidates could go on to the impact of this on the acquisition.

Candidates that do go on to discuss the wider implications of the assumptions and their impact on the overall result of the valuation are rewarded well and often go on to earn skills marks through valid skills comments.

Professional skills – 5 marks

On the whole candidates were awarded an average mark for professional skills. Candidates were generally good at demonstrating skills of analysis and evaluation but not so good at demonstrating scepticism and commercial acumen.

Analysis and Evaluation

Many candidates provided comprehensive and well-structured numerical analysis for their calculations in their responses to requirement (b), with appropriate use of the data to determine suitable calculations and support their discussions and draw appropriate conclusions.

The better answers demonstrated the need for specific further information resulting from their numerical analysis.

Scepticism

The scepticism marks in this question could be awarded for questioning the assertions made by the non-executive director concerning the need to reduce risk by diversifying into other unrelated areas and for questioning realism and possible bias in assumptions. Candidates need to develop confidence in order to question statements

made in the scenario which demonstrates the scepticism skill. Similarly, questions could be raised about bias and realism in assumptions. e.g how realistic is it in real world economies to assume that inflation remains constant for 4 years,

Commercial Acumen

Few candidates were able to demonstrate commercial acumen skills where candidates are expected to relate their discussion and information in the scenario to the real world. In this scenario candidates could use real world evidence of acquisitions to illustrate points in their discussion.

Summary

Overall, this is a good mergers and acquisitions question. Well prepared candidates were able to do very well. Thorough reading of the scenario, planning and a structured approach benefitted many candidates and ensured time was not wasted on needless calculations and discussion but directed at the key areas. The ability to apply knowledge to a given scenario is a skill required throughout this stage of the qualification and reinforces the need to practice past questions under exam conditions and study model answers.

Question 3 – Blackbosca Co

Format of the question

Blackbosca Co is mainly drawn from section B of the syllabus, focusing on international investment appraisal. The individual question parts are broadly similar in scope and complexity to requirements that have appeared in previous questions drawn from the same syllabus areas and should not have been unexpected. The requirements tested the ability of candidates to undertake a number of detailed calculations involving an international investment proposal and to discuss issues related to those calculations and other issues associated with the proposal.

Comment on time management

Blackbosca Co is worth 25 marks which translates into 45 minutes for candidates to spend on this question. It is important that candidates thoroughly read the question to become familiar with the scenario. Candidates must then plan their time to have the opportunity to gain the maximum marks for each requirement.

Candidates should avoid the temptation to expand their answer to one requirement beyond the time allotted, using time that should have been spent answering the remaining requirements and the other questions in the exam. Markers cannot allocate more marks to a requirement than the maximum available, even if the comments may otherwise be worthy of additional credit.

Scenario background

Exhibit one presented background information about an online food delivery company, Blackbosca Co. Due to rapid revenue growth in its home market, the company would like to expand into other countries. The board is due to discuss a proposal to expand into Üskistan, a developing country which has cultural links with Blackbosca Co's home market of Turkey. Exhibit two provided more detailed financial information relating to the proposal, including inflation-adjusted estimates of the expected revenue and fixed costs. The exhibit also provided information about the source of the revenue estimates, which were modelled by a consultant based on an exponential mathematical function. The exhibit indicated the company's chief executive officer (CEO) had some concerns about the integrity of the data and the validity of the financial model. Exhibit three presented further information about the Üskistani economy and its government.

The initial requirement expected candidates to evaluate the proposal by working through each of the components of an international investment appraisal calculation and then to discuss the CEO's concerns about the consultant's cash flow estimates. Candidates were then asked to discuss the financial and business risks the company would be exposed to if the expansion proposal were approved.

General comments

The requirements in this question are technically demanding. Overall, candidates were well prepared to meet the technical challenges posed by this question, as evidenced by the proficiency of the net present value calculations in requirement (a) and satisfactory discussion sections in requirement (b). However, the impression is left that many candidates did not in fact read or at least read fully the CEO's concerns regarding the consultant's cash flow estimates. Candidates therefore struggled to demonstrate professional scepticism and/or commercial acumen when addressing these concerns, if this part of the requirement was attempted at all.

The best candidates were able to adopt a balanced approach to their answers and address all aspects of the requirements. Future candidates are therefore reminded about the importance of question practice as an essential part of their preparations for this exam.

Part (a) – 13 marks

(a) Evaluate the suitability of the investment proposal in Üskistan, including in your analysis a discussion of the chief executive officer's concerns about the consultant's cash flow estimates.

(13 marks)

Note: there are up to 5 marks available for discussion.

Requirement (a) asked candidates to evaluate the suitability of the investment proposal in Üskistan, including in their analysis a discussion of the CEO's concerns about the cash flow estimates. The financial data presented to candidates included a cash flow forecast, with the project's pre-tax contribution and fixed costs. These cash flows had already been adjusted for inflation. The expected exchange rates throughout the four-year investment period were also made available to candidates.

Subject to the caveat highlighted previously about the failure of many candidates to address the CEO's concerns, the other parts of the requirement were well answered. However, a small number of candidates wasted valuable exam time inflating the revenue and fixed costs estimates when these had already been adjusted for inflation in the scenario. Similarly, some candidates also duplicated the exchange rate calculations. The inflation rates were included in the scenario to provide some contextual macroeconomic data which might have been useful for their evaluation, not so that candidates could waste time recalculating the exchange rates.

Both of these errors could have been avoided with a more careful understanding of the information in the scenario. Candidates must therefore read the scenario carefully in order to understand clearly the information that has been presented to them and what is being asked of them before attempting the requirements. This is a skill that can be developed with extensive question practice.

Most candidates made a reasonable attempt at the tax calculations although, as with past exam questions, the carried forward loss adjustment was not always well answered. There were also the usual errors associated with the working capital calculation with some candidates ignoring the incremental aspect of working capital

cash flows and/or the requirement to recover working capital in full at the end of the project. Some candidates failed to convert the dollar cash flows into Turkish lira and many ignored the royalty payment in Turkish lira even when this had been included as an expense in dollars. Each of these errors highlights a lack of technical knowledge and/or application in the areas of the syllabus being tested but it is worth emphasising that each can be addressed with additional question practice since they are all standard features of many previous exam questions on the same topic.

As part of their evaluation, candidates were expected to provide a justified recommendation at the end of the net present value calculation. The vast majority of candidates were able to demonstrate the ability to make a clear recommendation. However, there are still candidates who skip this final step in their evaluation, missing out on an opportunity to score relatively easy marks.

As previously stated, many candidates ignored or failed to adequately address the CEO's concerns about the model used to predict the project's cash flow estimates, which was disappointing since scepticism is a key professional skill expected of candidates in this exam. This should have been an opportunity for candidates to critique the financial model and to consider ways in which the integrity of the data might be assessed, for example, using the experience of Blackbosca's home market. It was disappointing to see so many candidates avoid this aspect of the requirement and it is worth highlighting the importance of time management if candidates are to be successful in this exam.

Part (b) – 7 marks

(b) Discuss the financial and business risks which Blackbosca Co will be exposed to if the project in Üskistan is approved.

(7 marks)

Requirement (b) expected candidates to discuss the financial and business risks associated with the proposal in Üskistan. Candidates were expected to use the information provided in the exhibits, particularly exhibit three, to assess Blackbosca Co's risk exposure as a result of the new project. This exhibit included background information relevant to the project, including the tax treatment of the delivery riders, the stability of Üskistan's government and more general information about the economy and the online food delivery market.

Overall, this requirement was well answered although it was disappointing to see that there were a few candidates who did not attempt it at all. It is important to attempt all requirements to gain maximum technical and professional skills marks.

Many candidates provided balanced answers covering both types of risk, raising points which were contextualised to the scenario. The less well prepared candidates referred back to the scenario, simply restating the risks without adding any meaningful discussion or analysis. Other candidates wasted time on general points which were not related to the scenario at all.

Professional skills – 5 marks

Professional marks will be awarded for the demonstration of skill in analysis and evaluation, scepticism and commercial acumen in your answer.

(5 marks)

Overall, many candidates were capable at demonstrating skills in analysis and evaluation but were often far less confident demonstrating scepticism and commercial acumen.

Analysis and evaluation

Many candidates provided comprehensive and well-structured numerical analysis for their calculations in their responses to requirement (a), with appropriate use of the data to determine suitable calculations and support their discussions and draw appropriate conclusions.

Scepticism

To demonstrate the skill of scepticism, candidates were expected to challenge information provided such as recognising the implication of using inaccurate cash flow estimates and to question the disparity between the increase in fixed costs and revenue throughout the investment period since the former increases in a linear manner whilst the latter seems to increase exponentially. Candidates still seem to struggle demonstrating this particular skill and are advised to focus on providing comprehensive answers to requirements as scepticism should naturally follow from this.

Commercial acumen

Few candidates were able to adequately demonstrate skills in commercial acumen, where candidates are expected to use the information in the scenario to draw on evidence that relates to the organisational context or take any other practical commercial considerations into account. An example of commercial acumen in this scenario would have involved recognising the usefulness of Blackbosca Co's experience in its home market in order to verify the credibility of the cash flow estimates although credit could also be gained for other relevant points raised by candidates.